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CLOSING THE Terror Tap

Clamping down on the flow of money that nourishes the monster and keeping a close watch on explosive substances is now an imperative

India has no procedures in place yet to check the flow of terror funds into the country. The Unlawful Activities Prevention Act (UAPA) has provided for freezing the accounts of suspected terrorists and seizing their property. However, it continues to be silent on preventing these funds from coming into the country in the first place.

Credit and debit card transactions below the "threshold of requiring proof of identity" are

being used to bring in or access funds without attracting attention. The modus operandi is to send money in small amounts, and thus slowly build up resources. In addition, the traditional methods of financing terror like smuggling, fake currency, drug rackets and gun-running continue to flourish. There are intelligence reports about terrorists investing in stock exchange and real estate too. India has failed to crack down on any of these.

The Home Ministry only keeps track of funds coming through legal channels in form of aid to the NGOs. Monitoring foreign funding to NGOs, they keep blacklisting organisations, which fail to submit their accounts or indulge in suspicious activities. The Home Ministry cannot do anything beyond banning the organisation from accepting any funding.

Other than this, there is no system in place to check the inflow of funds coming into the